



Annual Activity Report 2024

DIRECTORATE-GENERAL FOR DEFENCE
INDUSTRY AND SPACE

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DG DEFIS IN BRIEF

The Directorate-General for Defence Industry and Space (DG DEFIS) develops and carries out the Commission's policies on defence industry and space. EU competences and obligations for defence industry action are conferred under the TFEU Title XVII Industry, in particular Article 173(3), and Title XIX Research and development, in particular Article 182(4), Article 183 and the second paragraph of Article 188; and for space under Articles 189 and 4(3) TFEU.

DG DEFIS is responsible for a total budget of EUR 26.1 billion for the period 2021-2027 through:

- the **European Defence Fund (EDF) and its precursors, the European Defence Industrial Development Programme (EDIDP)** and the **Preparatory Action on Defence Research (PADR)**, the EDF and EDIDP largely implemented through direct management by the Commission (mainly grants) and the PADR partially implemented through indirect management by the European Defence Agency (EDA);
- the **Act of Support of Ammunition Production (ASAP)**;
- the **EU Defence Industry Reinforcement through Common Procurement Act (EDIRPA)**;
- the **EU Space Programme** and the **EU Secure Connectivity Programme**, implemented through direct management by the Commission or through indirect management by the European Union Agency for the Space Programme (EUSPA), the European Space Agency (ESA) and other entrusted entities; and
- **Horizon Europe for Space**, managed by DG DEFIS and the Health and Digital Executive Agency (HaDEA) in cooperation with DG RTD, along with indirect management by EUSPA and ESA.

DG DEFIS relies on external control systems given that most of its budget is managed indirectly via entrusted entities, except most of the EU defence programmes¹. External auditors validated these systems through pillar assessments, based on the common terms of reference of the Commission, with critical recommendations implemented before any contribution agreements with entrusted entities are signed. This setup integrates the control systems of entrusted entities into DG DEFIS' accountability chain. Beyond the risks related to the direct and indirect spending modes, DG DEFIS must consider external factors beyond its control, like technical (space activity), extraordinary events (e.g., COVID-19 pandemic, Russian war against Ukraine), and security risks.

⁽¹⁾ To note that most of the budget linked to defence initiatives (i.e. EDF and its precursor programmes, ASAP, and EDIRPA) is managed directly.

EXECUTIVE SUMMARY

This Annual Activity Report is a management report of the Director-General of DG DEFIS to the College of Commissioners. Annual Activity Reports are the main instrument of management accountability within the Commission and constitute the basis on which the College takes political responsibility for the decisions it takes as well as for the coordinating, executive and management functions it exercises, as laid down in the Treaties ⁽²⁾.

The work of DG DEFIS in 2024 is aligned with the 2024 Management Plan and the intervention logic of the Strategic Plan 2020-2024 to achieve the specific objectives and to contribute to the general objectives of the Von der Leyen Commission 2019-2024. DG DEFIS' programmes played a crucial role in enhancing EU security, resilience, sustainability, and reinforcing EU strategic autonomy.

A. Key results and progress towards achieving the Commission's general objectives and department's specific objectives



To respond to the European defence industry's immediate challenges following Russia's military aggression against Ukraine and to build upon the 2022 Versailles Declaration and the 'Joint Communication on the Defence Investment Gap Analysis and Way Forward' ⁽³⁾, two legislative initiatives tabled by the Commission were adopted by co-legislators in 2023: (i) the

Regulation establishing an instrument for the reinforcement of the European defence industry through common procurement (EDIRPA) ⁽⁴⁾ of EUR 300 million, incentivising Member States to jointly procure most urgent and critical defence products, (ii) the **Regulation on supporting the Ammunition Production (ASAP)** ⁽⁵⁾ of EUR 500 million, aiming at increasing the ammunition and missile production volumes and reduce their delivery lead-time. On 18 October 2023 the ASAP work programme for 2023-2025 was adopted and five calls for proposals were published with an application deadline on 13 December 2023. 82 proposals were submitted. A dedicated Task Force under the lead of DG DEFIS was set-up in 2023 to evaluate the proposals. The results of the evaluation were published on 15 March 2024. 31 proposals were awarded a grant, and project contracts were concluded with all during the course of 2024. All calls were covered with projects, for a total sum of about EUR 513 million which includes the contribution from Norway.

As announced by the President in 2023, a **European Defence Industrial strategy (EDIS)** was adopted on 05 March 2024, transitioning from emergency responses to a steady-state approach addressing lasting challenges resulting from a considerably changed security landscape. Alongside this strategy aimed at enhancing the defence industrial readiness of

(2) Article 17(1) of the Treaty on European Union

(3) JOIN(2022) 24 final

(4) Regulation (EU) 2023/2418 of the European Parliament and of the Council of 18 October 2023 on establishing an instrument for the reinforcement of the European defence industry through common procurement (EDIRPA)

(5) Regulation (EU) 2023/1525 of the European Parliament and of the Council of 20 July 2023 on supporting ammunition production (ASAP)

the EU, a proposal for a **Regulation establishing a European defence industry programme (EDIP)** was tabled, serving as a foundational step toward implementing the Strategy. The adoption is expected in the course of 2025. DG DEFIS also spearheads the Commission's efforts in implementing **Action Plan on Military Mobility 2.0** to improve military movements within and beyond the EU.

In May 2024, the European Commission selected for funding 61 defence industrial projects under the 2023 **European Defence Fund (EDF)** calls for proposals with a total EU contribution of EUR 1.12 billion. A total of 61 grant agreements were signed by the Commission in December 2024. By 7 November 2024, the Commission received a record 298 proposals for joint defence research and development (R&D) projects in response to the 2024 EDF calls for proposals, leading to funding awards exceeding EUR 1.1 billion. In 2024, DG DEFIS continued to manage directly or monitor the implementation of tasks under the related contribution agreements with OCCAR and EDA for the following projects:

- 162 **EDF 2021, 2022 and 2023** research and development projects (29 implemented in indirect management by OCCAR and EDA).
- 34 **European Defence Industrial Development Programme (EDIDP)** projects (2 implemented in indirect management by OCCAR).
- 2 **Preparatory Action on Defence Research (PADR)** projects implemented in indirect management by EDA.

In 2024, DG DEFIS advanced the implementation of the **EU Space Strategy for Security and Defence**, adopted in March 2023. Key initiatives included establishing the **EU Space Sharing and Analysis Centre (ISAC)** to bolster sector resilience and security, and initiating feasibility studies for a potential EU Earth Observation Governmental Service. A year-end workshop showcased strategy implementation progress to Member State authorities.

In order to strengthen the autonomy and resilience of **access to space** for the needs of the European Union Space Programme ⁽⁶⁾, the Commission launched activities implementing Article 5 of the EU Space Programme regulation, following 3 strands: aggregation of the European institutional demand for launch services, support to innovation and ground infrastructure. With support of Member-States and experts from the European Space Agency (ESA), it also started the preparation of potential future initiatives.

EU space diplomacy actions were continued to strengthen Europe's role as a strong global space actor and foster new business opportunities for the EU Space ecosystem.



DG DEFIS pursued an innovative and sustainable space policy with a focus on strengthening and safeguarding the EU's sovereignty and security. Delivering on the Union's third flagship, the **Union Secure Connectivity Programme** ⁽⁷⁾, a significant milestone was marked with the signature of a concession contract with the SpaceRISE consortium in December 2024. On the basis of a strong and innovative public private partnership, the concessionaire will develop, deploy and operate

(6) Regulation (EU) 2021/696, OJ L 170, 12.5.2021, p. 69–148

(7) Regulation (EU) 2023/588, OJ L 79, 17.3.2023, p. 1–39

the 'IRIS²' satellite constellation (Infrastructure for Resilience, Interconnectivity and Security by Satellite).

In July 2024, and in line with the legal requirements set out in the EU Space Programme Regulation, the Commission adopted a **Report on the implementation of the EU Space Programme** and on the performance of the European Union Agency for the Space Programme as well as the Commission Staff Working Document accompanying the Report. The evaluation has confirmed that over the evaluation period, the performance of the Programme and the components is aligned with the programmatic objectives, effectively meeting users' needs and contributing significantly to the Union's strategic priorities, in particular to the fair green and digital transitions, EU's sustainable competitiveness and resilience.

Implementing the **EU approach on space traffic management** (STM), the STM stakeholder mechanism continued and intensified its work on delivering on the actions under the Joint Communication of 2022.

Copernicus initiated the first contracts under the new **Dynamic Purchasing System**, supporting emerging European satellite operators. Ongoing **Copernicus expansion missions** saw progress, with the launch of the first satellites scheduled for 2026. Four **Copernicus thematic hubs** were launched in 2023, and the **Copernicus Data Space Ecosystem**, introduced in 2023, facilitates access to Copernicus data. Additionally, a pilot project for a potential **EU Earth Observation governmental service** was initiated. Under **Horizon Europe's 2023-2024** work programme (Cluster 4), EUSPA and HaDEA topics opened in late October. Additional projects were awarded from the 2023 HaDEA and 2022 EUSPA calls.

All actions envisaged under the **CASSINI** initiative to support space start-ups and SMEs were fully deployed in 2024.

13 CASSINI Matchmaking events Over 200 start-ups and over 100 investors	CASSINI Challenges EUR 1M prize pool awarded to 30 companies	CASSINI Hackathons 1000+ participants across 20 countries, including Ukraine	CASSINI Business Accelerator Supporting 40 companies yearly	CASSINI Investment Facility 15 VC Funds supported
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The Commission also continued to support innovation through its **In Orbit Demonstration and Validation** (IOD/IOV) programme.

Under Horizon Europe, DG DEFIS launched the **Space Partnership** in September 2024, signing a Memorandum of Understanding with its founding members, which includes Eurospace, SME4Space, ESRE, EASTRO and EASN. Collectively, these organisations represent a large part of the European space supply chain. The Space Partnership successfully assisted the Commission with the development of the Horizon Europe 2025 Work Programme, with a focus on digital enabling technologies.

As a follow-up of the **Joint Declaration for the deployment of a quantum space gravimetry pathfinder** mission in 2023, DG DEFIS continued the preparatory work with the main stakeholders for the next steps of the implementation phase.

DG DEFIS contributed to the implementation of the **STEP** regulation by identifying two space calls (EUR 32.2 million) under Horizon Europe WP 2023-2024 that contribute to the STEP objectives.



In 2024, Copernicus remained pivotal for environmental monitoring, supporting the European Green Deal objectives through its **six services**. Copernicus and the United Nations' World Meteorological Organisation (WMO) jointly published a **report on the State of the Climate in Europe**. The data provided by the Copernicus Climate Change Service and the Atmosphere Monitoring Service featured at many sessions of COP29 in Baku, Azerbaijan. Copernicus data is supporting the implementation of the Common Agricultural Policy (CAP), in particular the work of the paying agencies. The 8th issue of the EU Copernicus Ocean State Report (OSR 8) was published for policymakers, members of the blue economy and the general public. The Rapid Mapping and Risk and Recovery Mapping of the Copernicus Emergency Management Service were activated 98 times in 2024 underpinning its value in managing e.g. forest fires or floodings.

In 2024, the EU's satellite navigation systems, **Galileo and EGNOS**, played a crucial role in supporting the transition to carbon neutrality by offering high-accuracy positioning and navigation signals, essential for the **optimisation of routes across various modes** of transport and reducing CO2 emissions. Notably, EGNOS-based landing procedures in air transport increased to **more than one thousand** by year-end.

DG DEFIS continued working closely with the civil aeronautics industry, facilitating the work of the **Alliance for Zero-Emission Aviation (AZE)** to prepare the aviation ecosystem for the commercial use of novel aircrafts leveraging electricity and hydrogen as energy sources. Furthermore, in 2024, DG DEFIS awarded an EDF grant to a project on innovative propulsion solutions for land and naval defence applications in the 'Energy resilience and environmental transition' category. Another topic in this category has been included in the 2024 calls for proposals with project proposals currently under evaluation.

In 2024, significant progress was made on the Product Environmental Footprint Category Rules for the aerospace sector (PEFCR4Space). This initiative aims to standardise the assessment of the environmental impact of space activities, supporting the European Commission's sustainability goals by helping companies improve resource efficiency, reduce environmental impact, and enhance transparency.



DG DEFIS contributes to building Europe's open strategic autonomy in particular through the **GOVSATCOM component** of the EU Space Programme for secure governmental communications, the first building block of IRIS². In 2024, activities were focused on the deployment of the ground infrastructure (called GOVSATCOM Hub) to enable the start of the provision of precursor

governmental services in 2025. The development of the GOVSATCOM Hub was contracted through an innovation partnership contract from EUSPA, acting in the name of the Commission, to industry. Furthermore, on 20 December 2024, a Commission Implementing Decision was adopted to determine the location of the two GOVSATCOM Hubs.

Activities progressed under the **Space Situational Awareness (SSA)**⁽⁸⁾ component consisting of three subcomponents: **Space Surveillance and Tracking (SST)**, **Space Weather Events (SWE)** and **Near-Earth Objects (NEO)**. Under the EU SST subcomponent, the EU SST Partnership of 15 EU Member States continued providing SST Collision Avoidance services together with the EU SST Front Desk at EUSPA with an increasing number of users worldwide. It also continued providing SST Re-Entry and Fragmentation services to EU users. Preparatory activities towards the provision of an EU operational SWE services continued, focusing on user needs and studying the impacts of potential services and their technological readiness. To increase preparedness and responsiveness, the physical characteristics of NEOs will continue to be studied.

The **Copernicus security service** is contributing to the protection of EU borders, critical infrastructure, as well as supporting the EU external actions. As proposed in the Space Strategy for Security and Defence, DEFIS launched in 2024 an analysis to develop an **EU Earth-Observation service for governmental use for sensitive applications**.

Delivering on the **Security Union Strategy** and working closely with the EEAS, the eighth report on the implementation of the 2016 **Joint Framework on countering hybrid threats** and the 2018 **Joint Communication on increasing resilience and bolstering capabilities to address hybrid threats** was released to the Council on 10 October 2024.

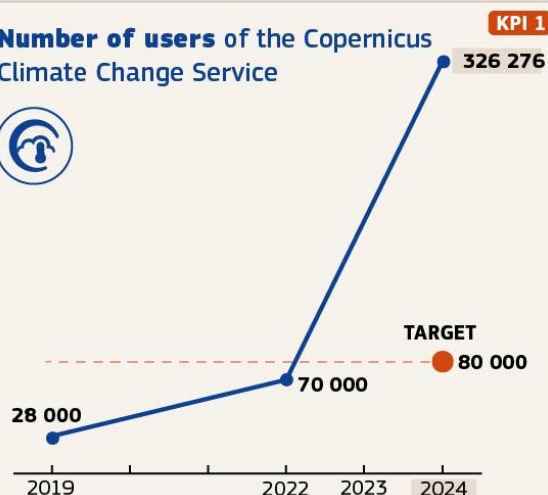
In 2024, the Commission prepared several classified reports for the EU **Observatory of Critical Technologies (OCT)**, addressing the civil-defence-space industries. These reports focused on electronic components and autonomous systems for space and defence applications. Currently, the Commission is developing two technology roadmaps, covering two space technologies and one defence technology. Under Horizon Europe, DG DEFIS is advancing **Critical Space Technologies (CST)** to enhance the EU's strategic autonomy by reducing technological dependencies on other regions. A Joint Task Force, comprising the European Space Agency (ESA), the European Defence Agency (EDA), and insights from the OCT, identifies CST dependencies. Development efforts prioritise CST that directly support EU space missions.

In 2024 DG DEFIS played a proactive role in screening **Foreign Direct Investments (FDI)** in space and defence areas to safeguard against potential security or public order risks associated with non-EU investments in European companies.

(8) The SSA component will cover EU SST, SWE and NEO, as well as an overall strengthening of security requirements when developing EU space systems)

B. Key performance indicators ⁽⁹⁾

Number of users of the Copernicus Climate Change Service

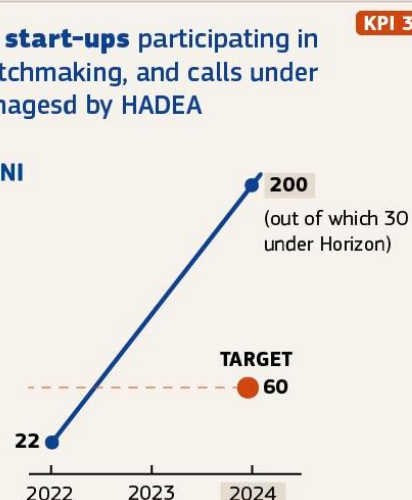


Number of start-ups participating in CASSINI matchmaking, and calls under Horizon managed by HADEA



CASSINI

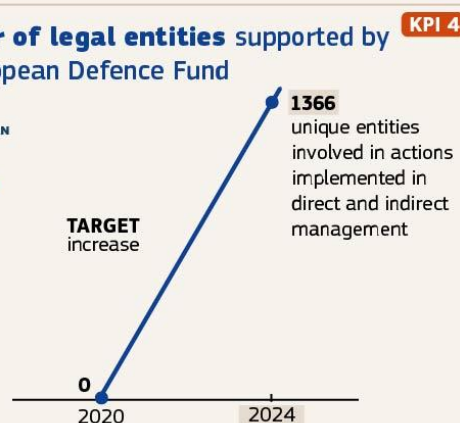
#HorizonEU



Number of legal entities supported by the European Defence Fund



EUROPEAN DEFENCE FUND



Availability, accuracy, and continuity of services provided by Galileo and EGNOS separately



	2020	2022	2024	TARGET 2024
AVAILABILITY	77%	95.5%	99.9%	99.5%
ACCURACY (95%)				
Horizontal	<=7.5m	<=5m	1.11m	<=4m
Vertical	<=15m	<=8m	1.72m	<=8m
CONTINUITY	No figure for continuity has yet been defined			

Number of operational safety and security (including dual-use) related services from the EU Space Programme



- GALILEO Open Service (OS) since 2016 and Enhanced Services since 2023
- GALILEO Public Regulated Service (PRS) since 2016 and start of Signal in Space broadcast in April 2024
- GALILEO Search and Rescue (SAR) service since 2016, with return link feature since 2020 and final performance declared in 2024
- GALILEO High Accuracy Service (HAS) since 2023
- EGNOS Safety of Life (SoL) service since 2011
- EGNOS Open Service (OS) since 2009
- EGNOS Data Access Service (EDAS) since 2012
- All three components of the Copernicus security service are operational
- The Copernicus Emergency management service (rapid mapping, risk and recovery mapping, early warning) is operational

	2020	2022	2024	TARGET 2024
EGNOS				
AVAILABILITY (99%)				
APV-I	Over 99%	-	95.1%	Over 99%
LPV-200	Over 90%	-	93.86%	Over 95%
ACCURACY (95%)				
Horizontal	2m	-	1.43m	1.5m
Vertical	3m	-	2.08m	2.5m
CONTINUITY (5*10-4 / 15 sec.)				
APV-I	Over 90%	-	97.18%	Over 95%
LPV-200	Over 80%	-	95.9%	Over 85%

The EGNOS availability is subject to the level of solar activity which follows a 11-year cycle. 2024-2026 is at the peak. October and November were particularly affected.



- EU Space Surveillance and Tracking (SST): collision avoidance service, re-entry analysis service and fragmentation analysis service
- EU operational space weather service are expected to be provided by late 2025/ early 2026
- GOVSATCOM is in its testing phase and is not yet fully operational. GOVSATCOM services will start to be provided in 2025

C. Key conclusions on internal control and financial management

In line with the Commission's Internal Control Framework, DG DEFIS assessed its internal control systems during the reporting year and concluded that they are effective. The components and principles are present and are functioning correctly.

In addition, DG DEFIS has systematically examined the available control results and indicators, including those from supervised entities to which it has entrusted budget implementation tasks, as well as the observations and recommendations issued by the internal auditor and the European Court of Auditors. These elements have been assessed to determine their impact on management's assurance about the achievement of the control objectives. Please refer to Section 2 for further details.

In conclusion, management has reasonable assurance that, overall, suitable controls are in place and working as intended. The risks are being appropriately monitored and mitigated, and the necessary improvements and reinforcements are being implemented. The control system has been revised in this respect, considering the latest recommendations from the Internal Audit Service (IAS). The Director-General, in his capacity as Authorising Officer by Delegation, has signed the Declaration of Assurance.

D. Provision of information to the Commissioner(s)

In the context of the regular meetings during the year between the DG and the Commissioner on management matters, the main elements of this report and assurance declaration, have been brought to the attention of Commissioner Breton and Executive Vice-President Vestager, responsible for the Internal Market and, as of 1 December 2024, to the attention of Commissioner Kubilius.

1. KEY RESULTS AND PROGRESS TOWARDS ACHIEVING THE COMMISSION'S GENERAL OBJECTIVES AND SPECIFIC OBJECTIVES OF THE DEPARTMENT ⁽¹⁰⁾

In accordance with the new corporate criteria for a strengthened common control approach to provide reasonable assurance on the reliability of performance information for EU financial programmes, the performance indicators reported in this section are collected and controlled by DG DEFIS in compliance with the principles established in the 'data governance and data policies' at the European Commission ⁽¹¹⁾. Their reliability is ensured in particular by controls of the work performed by the entrusted entities (indirect management), including through periodical monitoring meetings and the verification of periodic reports to check consistency, completeness and reliability/plausibility. Additional measures are taken to increase the data consistency, like the monitoring of data users' feedback.

A. European Green Deal



Specific objective 1.1: The reliable data and services of the EU Space Programme are cornerstones for the monitoring of, and transition to climate-neutrality and ecological sustainability



The **EU Space Programme** and in particular **Copernicus** through its 6 services, provide reliable open monitoring data supporting the EU's 2050 climate-neutrality and sustainability objectives. In 2024, DG DEFIS ensured EU space-based services' inclusion in **cross-policy legislative initiatives**:

- the **EU biodiversity strategy for 2030**: Copernicus-data solutions aid ecosystem preservation, soil and ocean health understanding, crucial for food security and carbon sequestration. The C3S, providing continuous climate monitoring, offered reliable information on indicators like temperature, sea ice, and CO₂ throughout 2024. The number of C3S users continues to increase, reaching more than 325 000 EU users by the end of 2024. The Copernicus Marine Service (CMEMS) continued development of ocean monitoring indicators and SGD indicators specifically developed for EUROSTAT under the Sustainable Development Goal 14 ('Life below water') on climate impact on water acidification and eutrophication.
- the **EU climate mitigation strategy**: The fifth Copernicus 'European State of the Climate' Report ⁽¹²⁾, issued in April 2024, garnered widespread media attention and

(10) An Executive Agency uses as heading: "Implementation of the Agency's Annual Work programme - Highlights of the year".

(11) At the end of 2022, the Internal Audit Service (IAS) performed an audit on the Commission's control system in relation to the reliability of performance information on EU financial programmes. In its audit findings, IAS identified DG DEFIS among the few DGs that presented clearly control results related to reliability of reporting and assessed the effectiveness of those controls in their AAR.

(12) <https://climate.copernicus.eu/esotc/2023>

provides descriptions and analysis of climate conditions and variations from across the Earth system.

- a **sustainable blue economy**: DG DEFIS, with DG RTD and DG MARE, continued the development of a Digital Twin Ocean (DTO), building on Copernicus data and information services. The Copernicus Marine Service published its 8th Ocean state report. ⁽¹³⁾
- the **EU Regulation on deforestation-free supply chains**: the Copernicus Land Monitoring Service supports the implementation of the Regulation and the establishment of a tropical forest observatory, providing mid-term near real time products on forest cover change.
- the **EU sustainable and smart mobility strategy**: throughout 2024, Galileo provided high accuracy positioning and navigation signals for efficient routes in various transport modes (cars public transport and boats), reducing fuel consumption and CO2 emissions. Galileo, especially in road navigation, could save approximately 5 billion litres of fuel ⁽¹⁴⁾. EGNOS streamlined flight routes, cutting fuel usage and CO2 emissions, with more than one thousand EGNOS landing procedures at the end of 2024.



1000+
EGNOS-based
landing procedure



The cooperation between Copernicus and the **Destination Earth** ⁽¹⁵⁾ (DestinE) project continued, co-led by DG CNECT, DG DEFIS, DG RTD and the JRC). DestinE builds on Copernicus to create dynamic '**Digital Twins of the Earth**,' supporting simulations for the climate change and extreme events with high resolution. Conversely, initial results from DestinE Phase I highlight its potential to accelerate the digital transformation of Copernicus.

In 2024, DG DEFIS continued steering the work of the **Alliance for Zero-Emission Aviation (AZEA)**, focusing on the development of electric and



hydrogen flights in Europe. In June 2024, AZEA released its Vision Report, proposing a unified strategy for reducing aviation's climate impact in deploying electric and hydrogen flights. DG DEFIS organised two General Assemblies, the first in January 2024 at Eurocontrol in Brussels, where former European Parliament Vice-President Jan-Christoph Oetjen shared parliamentary perspectives on zero-emission aviation. The second, held at the ILA ⁽¹⁶⁾ Berlin Airshow in June, presented the finalised Vision Report and reviewed the Alliance's progress. Concurrently, DG DEFIS published the Transition Pathway report for the aerospace ecosystem, detailing 53 priority actions to support the twin transition and the the long-term resilience and competitiveness of the aerospace ecosystem.



Following the 2023 EDF call for proposals, DG DEFIS awarded one project focused on innovative propulsion systems for defence applications in the category 'Energy resilience and environmental transition' (ENERENV). At the same time, EDF Work

(13) <https://doi.org/10.5194/sp-1-osr7,2023> 8th edition of the Copernicus Ocean State Report (OSR8), Copernicus Publications, State Planet, 4-osr8, <https://doi.org/10.5194/sp-4-osr8, 2024>.

(14) European Commission's Internal Study. "Analysis of the Environmental Impact of the EU Space Programme", (2020), page 88

(15) <https://ec.europa.eu/digital-single-market/en/destination-earth-destine>

(16) "Internationale Luft- und Raumfahrttausstellung", which translates to "International Aerospace Exhibition"

Programme 2024 contains one call for proposals focused on energy-independent and energy-efficient systems for military camps.

In 2024, significant progress was made in developing the Product Environmental Footprint Category Rules for the aerospace sector (PEFCR4Space), a standardised methodology for assessing the environmental impact of space activities that aligns with the European Commission's sustainability objectives to help companies improve resource efficiency, reduce environmental impact, and enhance transparency.

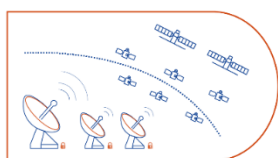


Communication

In partnership with Hungary's EU Council Presidency, DG DEFIS hosted the EU Space Days 2024 in Budapest on November 20-21, gathering policymakers, industry leaders, and entrepreneurs. The traveling exhibition "Space for Our Planet" ⁽¹⁷⁾ continued its success, showcasing space technology's impact on Earth and sustainability during the 75th International Astronautical Congress in Milan from October 14-18. The AGRI-SANTE-DEFIS collaboration promoted the importance of EU space-based applications at major fairs in Paris, Berlin, and Libramont. Throughout the year, Copernicus services underscored their role in climate adaptation and monitoring at events like the 2024 Ocean Decade Conference in Barcelona (April 10-12), the 9th Our Ocean Conference in Athens (April 15-17), and the Geospatial World Forum in Rotterdam (April 24).

B. Europe fit for the digital age

Specific objective 2.1: Modern and well-functioning EU space-enabled services to support the Union's priorities



Pursuing the speedy roll out of activities under the **Union**

Secure Connectivity Programme for 2023-2027, an



EU priority initiative, the Commission evaluated an ongoing procurement and signed **a concession contract** with the SpaceRISE consortium on 16 December 2024 for a duration of 12 years. On the basis of a strong and innovative public private partnership, the concessionaire will develop, deploy and operate the 'IRIS²' (Infrastructure for Resilience, Interconnectivity and Security by Satellite) - a multi-orbital constellation of 290 satellites - and provide secure connectivity services to the European Union and its Member States. This is a significant step towards Europe's sovereignty and secure connectivity. To deploy the necessary **ground infrastructure** and following an open call for expression of interest sent to all Member States, a Commission Implementing Decision was adopted in April 2024 to determine the location of the IRIS² control sites ⁽¹⁸⁾. **Precursor governmental services** are expected in 2025, using a phased approach and building upon the GOVSATCOM component of the EU space programme which constitutes the first building block of IRIS².

DG DEFIS is promoting an innovative and sustainable space policy and is actively pursuing the implementation of the **EU approach on space traffic management (STM)** through

(17) <https://www.space4ourplanet.org/>

(18) OJ L, 2024/1067, 16.4.2024 http://data.europa.eu/eli/dec_impl/2024/1067/oj

ten actions in four areas: 1) assessing STM requirements of civil and military space operators; 2) enhancing operational capabilities such as SST services and assets through the '**EU industry and start-ups forum on STM**'; 3) developing and promoting regulatory aspects; and 4) promoting the EU STM approach internationally. To this end, the **STM stakeholder mechanism** set up in 2023 brings together the fora called for in the Joint Communication ⁽¹⁹⁾ into one comprehensive structure consisting of one main group and four subgroups along the four STM areas and continued facilitating regular stakeholder meetings to gather valuable inputs, ideas, and contributions. In 2024, DG DEFIS also continued to manage the implementation of **the EU Space Programme**. In November 2024, Member States endorsed the **Space Work Programme 2025-2027**, that was officially adopted by the Commission in January 2025.

In July 2024, the **Report on the implementation of the EU Space Programme and of EUSPA's performance** was published. The report covers the period from 2021 to 2023 and is accompanied by a Staff Working Documents (SWD) that details the evidence-based assessment on the effectiveness, efficiency, coherence, relevance, and EU added value of the Programme. The interim evaluation of the Programme indicates very good progress in the implementation of the Programme, all key performance indicators are met, there are no cost-overruns and users are increasing and satisfied. The main strategic risk identified is EU's autonomous access to space, as the EU did not have for almost two years an EU launcher provider and the need to streamline and simplify procurement processes. Furthermore, EUSPA has demonstrated effectiveness in fulfilling its core and entrusted tasks, while enhancing its competencies and capabilities.



In 2024, Galileo ensured a seamless, safe and secured service provision, in line with the public service commitments. **Two dual launches** of Galileo satellites allowed to resume the preparation of the **Galileo Open Service** Full Operation Capability, which was delayed due to the Russian invasion of Ukraine and the subsequent unavailability of the Soyuz launchers. The **Galileo Public Regulated Service** Signal in Space started its broadcast in April 2024, paving the way towards Initial Operational Capability. The **Galileo Open Service Navigation Message Authentication** initiated the transmission of authentication signals via satellite, setting the stage for the forthcoming Initial Service Declaration. The **Galileo High Accuracy Service** provided excellent performance since its declaration in 2023, being the first Global Navigation Satellite System (GNSS) provider to deliver decimetre level position globally & directly through the space signal. The **Galileo Emergency Warning Satellite Service** test phase progressed, preparing for the upcoming Initial Service declaration. The **Galileo Search and Rescue SAR/Galileo** achieved its final performance reflected in the Service Definition Document with an enhanced commitment notably in the India Ocean Area thanks to the inclusion of a new station. Finally, a **new Galileo Sensor Station** was deployed in Bonaire (Caribbean), and new Galileo telemetry and telecommand station in Fucino (Italy) is under deployment. In 2024, **EGNOS** continued delivering seamless services, despite challenging conditions in the ionosphere conditions observed in 2024 due to the solar cycle peak. The

(19) JOIN(2022) 4

development of the EGNOS V3 continued with a Delta Critical Design Review for V3.1 by the end of 2024.

Overview of Galileo services

Galileo Open Service (OS): Provides ranging, positioning, and timing information to 3 billion+ Galileo-enabled devices.

Galileo Public Regulated Service (PRS): Galileo navigation service offering to authorised governmental users uninterrupted worldwide positioning, velocity and timing (PVT) solution even in the most serious crisis situations



Galileo High Accuracy Service (HAS): Provides high accuracy corrections for Galileo and GPS.

Galileo Search and Rescue (SAR) Service: Detects and locates people in distress and communicates their position to Rescue Coordination Centres worldwide.

Galileo Emergency Warning Satellite Service (EWSS): Broadcasts alerts to population.

Galileo Open Service Navigation Message Authentication (OSNMA): Provides authentication of the navigation message (e.g., Smart Tachograph, Telematics, logistics)

Galileo Assisted Commercial Authentication Service (ACAS): Provides positioning authentication.



All **six Copernicus services** operated seamlessly, supporting atmosphere, marine environment, and land monitoring, as well as climate change policies, emergency management, and security. Copernicus data and information are made available to all citizens and organisations around the world on a free, full, and open basis. The four thematic hubs related to Energy, Health, Coastal areas and Arctic opened in 2023 gain momentum and help simplifying access to related data, aiding non-expert users, and supporting EU policy implementation. Service continuity was maintained throughout the reporting year. In 2024, the **Copernicus space component** inverted the negative trend of the last years and launched two Sentinels. Sentinel-2C in September with Vega rocket and the long-awaited Sentinel-1C with the Vega-C return-to-flight in December.

In 2024, the Commission continued the preparatory work towards a potential future **EU Earth-Observation governmental service** with the kick-off in March 2024 of two feasibility studies. Consultations with Member States on their needs and expectations continued via bilateral and *ad hoc* meetings with security and defence users. Consultations with the Member States, the European External Action Service and the EU Satellite Centre (SatCen) continued to prepare a pilot EU Earth-Observation governmental service within the Copernicus framework, expected to start in 2025, to test new use cases for security and defence applications, and to define and test governance mechanisms.

DG DEFIS decided, in partnership with ESA, to carry out the development of the **six Sentinel expansion missions**, and the Commission confirmed the urgency of deploying the Copernicus CO₂ monitoring satellite constellation as soon as possible to support the UNFCCC Global Stocktake in 2028. Regarding **NewSpace**, on behalf of the Commission, ESA put in place a two-stage e-procurement approach called **Dynamic Purchasing System** and carried out a tendering phase to select emerging European Earth observation companies. The first 9 anchor customer contracts were kicked off in 2023. Both initiatives, coupled with substantial ground segment transformations, embracing cloud resources, were successfully completed.



Communication

In 2024, efforts concentrated on sustaining high-quality communication for established EU Space Programme components like Copernicus, Galileo, and EGNOS and initiatives such as Cassini, while broadening activities to encompass new components and initiatives, including IRIS², EU Space Law, and the Space Data Economy Strategy. DG DEFIS relied on the new EU Space Programme governance structure to enhance cooperation with key partners, increasing communication reach and impact while reducing costs. A significant focus was promoting IRIS² through dedicated events, culminating in the IRIS² Concession Contract signing ceremony at the European Commission's Berlaymont building on 16 December 2024.

Specific objective 2.2: EU Space Programme maximises socio-economic benefits



Over 3.5 billion Galileo - enabled devices in use.

The number of Copernicus, Galileo and EGNOS users is steadily on the rise, transforming our societies, modernising transport, enabling precision farming and promoting greener practices in urban and rural areas. Chipsets processing Galileo signals are now widely available, with around 4 billion Galileo-enabled devices in use. Additionally, the number of registered Copernicus users downloading data and information has reached 1,048,000 users for all data and services.

DG DEFIS published a Staff Working Document (SWD) showcasing the achievements and potential of the EU Space Programme. Aligning with European Court of Auditors (ECA) recommendations ⁽²⁰⁾, the document focuses on the use of space data to drive innovation, competitiveness, and sustainability. In response to the ECA's 2021 findings on not fully utilised investments, DG DEFIS created a validated framework to assess the economic, social, and environmental benefits of space data, supporting informed decisions for enhancing the EU's strategic capabilities.



DG DEFIS actively promotes European values of equality, diversity and inclusion in the defence and space sectors. The European space sector is expanding but faces workforce challenges due to an aging, predominantly male industry and skill gaps. To tackle these issues, the European Commission launched the **Space Career Launchpad** in 2024, offering internships in New Space companies to bridge skill gaps and promote diversity. The **Transition Pathway for Aerospace**, published in June 2024, outlines strategies for fairness, inclusion, and targeted education.

To inspire young talent, the **CASSINI Space Camp** will launch in 2025, providing teenagers with hands-on, innovative, inclusive, and interdisciplinary learning about the space industry. The CASSINI program is contributing to gender equality and diversity in space through inclusive **communication**,



(20) European Court of Auditors Special Report No 07/2021 "EU Space Programmes Galileo and Copernicus: services launched, but the uptake needs a further boost", available at: [Special Report No 07/2021: EU space programmes Galileo and Copernicus](#)

collaboration, balanced event representation, and a partnership with InvestEU to report on women's involvement in founder teams.



All actions under the **CASSINI initiative supporting space start-ups and SMEs** were fully deployed in 2024. The European Investment Fund (EIF) signed agreements with six new venture capital funds under the CASSINI Investment Facility, bringing the total number of CASSINI-backed funds to fifteen. The EIF also participated in two funding rounds through co-investments: D-Orbit, an Italian space logistics company; and Vyoma, a German company focusing on Space Traffic Management. Twelve physical **CASSINI Matchmaking events** attracted over 200 start-ups and over 100 investors. The winners of the Cassini Challenges were announced in June 2024 at CASSINI Entrepreneurship Days, with 30 companies receiving prizes for a total value of EUR 1 million (15 ideas, 10 prototypes, 5 products). Two Cassini hackathons were held in 2024, focusing on 'Environment and Green Transition' and 'EU Space for Defence and Security'. These events drew participation from over 600 individuals across 20 countries, with Ukraine serving (for a second edition) as a local organiser. The **CASSINI Business Accelerator** supported 40 companies (Batches #3 and #4), and the Commission continued to foster innovation by offering free testing of space technologies in orbit through its **In Orbit Demonstration and Validation program (IOD/IOV)**.



Under the **Horizon Europe** (HE) 2023-2024 work programme (Horizon Europe Cluster 4), EUSPA topics focused on EGNSS and Copernicus applications, along with **GOVSATCOM** use cases, while HaDEA topics covered **Copernicus** Land & Water evolution, Security services, SST activities, and Quantum Space Gravimetry study phases. In addition to these calls, research and innovation (R&I) activities delegated to ESA continued, including EGNSS Upstream, GOVSATCOM, and Space Weather & Near-Earth Objects, and initial development activities started on IRIS². HE-supported activities related to **Cassini** also continued in 2024 (e.g. hackathons, business accelerator, etc.). In 2024, no new topics were awarded in Space Research & Innovation areas like Access to Space and Competitiveness, but ongoing implementation of previously awarded topics continued. Space R&I activities build on past results, supporting all key areas continuously, though call timings are more punctual. Additionally, under the HE work programme, R&I projects aim to enhance **EU SST services** by adapting network architecture, sensors, processing capabilities, and security for the anticipated increase in active orbiting objects.



As regards **international activities**, work focused on the possible participation of Norway and Iceland in GOVSATCOM and IRIS², requesting the Council the necessary mandates to launch such negotiations. Contacts have also been established with Australia and New Zealand to work on potential Space dialogues with these countries. DG DEFIS supported the uptake of Galileo, Copernicus and EGNOS services and data worldwide and promoted technical cooperation with strategic international partners. DG DEFIS continued its cooperation with DG INTPA to support the development of Satellite Based Augmentation System (SBAS) in partnership with ASECNA and Satellite Navigation - Africa Joint Programming Office (JPO). Ukraine submitted a request to start negotiations on agreements

allowing it to participate in various Space Programme components, for which the preparatory work started in 2024.

Other important contributions to making ‘Europe fit for the digital age’ included:



In June 2024 DG DEFIS published the **transition pathway for the aerospace and defence ecosystem** meant to support and speed up the digital, green and resilient transition of the ecosystem. Its implementation started in July, with the launch of the call for commitments through which stakeholders of the ecosystem are invited to implement the priority actions identified in the pathway.



DG DEFIS continued implementation of relevant actions under the **Action Plan on Synergies between Civil, Defence and Space Industries** ⁽²¹⁾. A key example is the launch of EUDIS to deliver a series of defence innovation actions to bring in civil technologies and newcomers into defence; such as EDF calls focussed on spinning in results of technologies from other EU programmes with high defence potential.



Working with EEAS, EDA, and DG CNECT, efforts focused on implementing the European Policy on Cyber Defence (EPCD). This involves developing a technology roadmap for critical cyber technologies and enacting the **European Cyber Resilience Act** and the **European Chips Act**, addressing the specific needs of the space and defence sectors. Within the Chips Act, the defence sector is explicitly listed among the ‘critical sectors’ benefitting from priority in case of crisis. Following the 2023 EDF calls in the categories ‘Digital transformation and Cyber’, DG DEFIS awarded co-funding to eleven projects. In 2024, DG DEFIS launched one call on the digital transformation of defence-related products and applications, focussing on automated structural modelling for effect prediction.

DG DEFIS continued its efforts to enhance the attractiveness of defence industry as employer. To this end, a survey was conducted, targeting both young professionals and students, as well as current industry employees. The findings will be presented in 2025.

DG DEFIS established a **Task Force on Skills** that contributed to the **European Year of Skills** by delivering policy actions. In the space sector, after workshops with industry, academia, and student associations, DEFIS launched a platform for internships and entry-level jobs. DEFIS also encourages participation in the Large-Scale Skills Partnerships within the Pact for Skills and provides policy guidance to the ASSETs+ project.



Communication DG DEFIS organised EU space programme booths and pavilions at numerous large events, including the 16th European Space Conference (23-24 January, Brussels), Hannover Messe (22-26 April, Hannover), the Black Sea Defence and Aerospace (22-24 May, Bucharest), ILA Berlin (5-9 June, Berlin), Eurosatory (17-21 June, Paris), the 75th International Astronautical Congress (14-18 October, Milan) and Euronaval (4-6 November, Paris). DG DEFIS showcased new areas beyond traditional space domains by

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participating in events such as Hello Tomorrow (21-22 March, Paris), TechChill (17-19 April, Riga), ImpactCEE (15-16 May, Poznan) and Slush (19-20 November, Helsinki).

C. A stronger Europe in the world



Specific objective 4.1: Fostered innovation capacity and competitiveness of the European defence industry and strengthened EU defence supply chains due to increased cross-border R&D cooperation involving in particular SMEs and mid-caps

To address the immediate consequences of the Russia's unprovoked and unjustified military aggression against Ukraine and to follow up on the Versailles Declaration of 2022, as well as the May 2022 **Joint Communication on the Defence Investment Gaps**

Analysis and Way Forward ⁽²²⁾, the Commission tabled two legislative initiatives:

- First, in July 2022, DG DEFIS put forward the proposal for a short-term instrument (EUR 300 million) under the **European defence industry reinforcement through common procurement act (EDIRPA)** ⁽²³⁾, which was adopted by the European Parliament and Council on 18 October 2023.

On 15 March 2024 the Commission adopted the EDIRPA Work Programme and launched the respective calls for proposal in three areas: (i) **Ammunition** (e.g. small arms, artillery ammunition, mortars, rockets); (ii) **Air and missile defence**; (iii) **Platforms and replacement of legacy systems**. By the submission deadline of 25 July, Member States and Norway (as an associated country) submitted 12 proposals in response to the EDIRPA call for proposals. By 11 November 2024, the Commission had selected and approved five projects. Each of the 5 selected projects will receive EUR 60 million, representing a total amount of EUR 300 million funding. This initiative aims at incentivising Member States to jointly procure the most urgent and critical defence products, allowing the European defence industry to ramp up its production capacities.

- Second, in May 2023, DG DEFIS put forward the proposal for the establishment of the **Act in Support of Ammunition Production (ASAP)** ⁽²⁴⁾ (EUR 500 million) which was adopted by the European Parliament and Council on 20 July 2023. This initiative aims at increasing the volume of production for ammunition and missiles in the EU and Norway (as an associated country), reduce their delivery lead-time and address potential bottlenecks and/or factors that could delay or impede their supply and production. After the evaluation of 82 proposals, 31 projects were selected for funding with a budget in excess of €500 million to stimulate the production of ammunition. The programme is currently supporting the implementation of projects in the following areas: (i) **Explosives** – 7 projects, with a portfolio budget of around EUR 124 million; (ii) **Powder** – 11 projects, with a portfolio budget of around EUR 248 million; (iii) **Shells** – 7 projects, with a portfolio budget of around EUR 90 million; (ix) **Missiles** – 5 projects, with a portfolio budget of around EUR 50 million; (x) **Testing and reconditioning** – 1 project of around EUR 2

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million. An evaluation report, as provided for in the ASAP Regulation, was published on 8 July 2024.



As announced by the President of the Commission in her 2023 State of the European Union speech, the Commission and the High Representative of the EU for Foreign Affairs and Security Policy adopted the **European Defence Industrial Strategy (EDIS)** on 05 March 2024. This strategy sets out clear objectives to transition from emergency and temporary measures aimed at reacting to the immediate consequences of Russia's unlawful war of aggression against Ukraine, to address its more long-term and lasting effects. EDIS' implementation will reinforce the defence industrial readiness of the EU and its Member States.

DG DEFIS started to implement the EDIS, demonstrated by organising the first EU-Ukraine Defence Industries Forum with the EEAS on 6 May 2024. This pivotal event focused on reinforcing defence industrial collaboration between the EU and Ukraine and advancing the integration of Ukrainian industry into the EDTIB. In collaboration with the EEAS, DG DEFIS also established and manages an **EU Defence Innovation Office in Kyiv**. On 27 November 2024, DG DEFIS organised the inaugural EU Defence Industrial Investment Forum, a high-level event that convened the defence and financial sectors to address investment challenges and opportunities within the defence industry. Additionally, to support the strategy, DG DEFIS proposed a Regulation on the **European Defence Industry Programme (EDIP)** in early 2024. EDIP will enhance the defence industrial readiness of the EU notably by expanding in time and scope the successful intervention logic of EDIRPA and ASAP. EDIP also aims to strengthen the EU's security of supply when it comes to defence equipment. Since its adoption by the Commission on 05 March 2024, DEFIS has been supporting co-legislators in negotiating the EDIP regulation proposal with co-legislators and entry into force is anticipated by mid in 2025, as ambitioned by the European Council in June 2024. A staff working document elaborating on the Commission's approach to the EDIP regulation proposal was adopted on 8 July 2024.



DG DEFIS continued to manage the **implementation of the European Defence Fund, the Preparatory Action on Defence Research (PADR) and European Defence Industrial Development Programme (EDIDP)**. The EDF Work Programme for 2024 was adopted on 15 March ⁽²⁵⁾, setting out the detailed objectives, activities and budget spending plans for 2024. The selected proposals following the 2023 EDF calls for proposals were published on 16 May 2024, leading to contract awards for a total EU support of EUR 1.12 billion in 61 defence industrial cooperation projects by December 2024 ⁽²⁶⁾. The EDF boosted space and defence efforts by supporting research and development (R&D) actions for defence applications, aligning with EU and Member States' priorities and seeking synergies between space and defence sectors. In response to the 2024 EDF calls, 298 proposals for joint defence R&D projects were received (increase of +25%

(25) C(2024)1702

(26) https://defence-industry-space.ec.europa.eu/commission-invests-over-eu1-billion-54-ambitious-defence-industrial-projects-through-european-2024-05-16_en; Information based on currently available data.

from 2023) by 7 November 2024, which will lead to funding awards of more than EUR 1.1 billion.



The **EU Defence Innovation Scheme (EUDIS)** aims to overcome barriers to defence innovation and integrate non-traditional actors in the defence industrial ecosystem. EUDIS measures, amounting to **EUR 225 million in 2024**, are being implemented through R&D grants and support actions, including hackathons, technological challenges, cascade funding calls, specific 'open' calls targeting SMEs and disruptive technologies, and business coaching. In January 2024, the **Defence Equity Facility (DEF)** was launched under the InvestEU programme to stimulate the development of an ecosystem of private funds investing in defence innovation. Furthermore, in November 2024, the Framework Contract for the **EUDIS Business Accelerator and Matchmaking (BAMM)** services was awarded, with the initiative set to become operational in 2025. EUDIS BAMM aims to enhance start-ups' and scale-ups' understanding of the defence environment and end-user needs while strengthening their business development, market entry, and go-to-market capabilities in the defence sector. The first **EUDIS Defence Hackathon**, themed 'Digital in Defence,' was held from 31 May to 2 June 2024. It brought together 6 visionary hosts from Belgium, Greece, Hungary, Italy, Lithuania, and Poland, 275 participants from 16 countries, 79 mentors and experts, and 6 winning teams. In just 48 hours, this initiative sparked the creation of 70 cutting-edge ideas and innovative solutions in three challenge areas: Subsea Infrastructure Protection, Improving Situational Awareness, and Cybersecurity in Defence.



The **EU Defence Innovation Office (EUDIO)** in Kyiv started its activities in September 2024, as a further sign of developing defence industrial cooperation between the EU and Ukraine. Hosted by the European Union Delegation to Ukraine and manned by Directorate General for Defence Industry and Space and the European External Action Service, the new office aims to foster cross-border cooperation between the Ukrainian Defence Technological and Industrial Base and its European counterpart, further solidifying EU-Ukraine defence ties. EUDIO marks an important milestone in advancing the European Defence Industrial Strategy (EDIS), adopted in March 2024. The Office will play a crucial role in identifying Ukrainian needs and capacities on defence innovation and facilitating joint initiatives and cooperation between innovative and industrial

stakeholders of the EU and Ukraine. It will promote defence innovation activities in and with Ukraine, foster joint initiatives and bring together EU start-ups and innovators and Ukraine's industry and armed forces.



During 2024, **EDIDP** activities concentrated on readying the capability development window of the EDF. DG DEFIS oversaw 34 projects and monitored task execution under related contribution agreements with OCCAR. Regarding **PADR**, all 18 funded collaborative research projects were successfully launched ⁽²⁷⁾, with 16 completed by year-end 2024. These findings are already shaping the EDF's implementation, with subsequent projects and calls building on PADR's promising outcomes.

Under the lead of DG DEFIS as coordinator for military mobility, Commission services together with EEAS, including the European Union Military Staff, the European Defence Agency, and Member States, steered the implementation of the '**Action Plan on Military Mobility 2.0**' ⁽²⁸⁾, aiming to enhance military movements within and beyond the EU.

DG DEFIS also continued to monitor the functioning of the European Defence Equipment Market. In this regard, in 2024 DG DEFIS opened formal infringement proceedings against Czechia ⁽²⁹⁾. The letter of formal notice to the CZ authorities has been sent in February 2024. The case concerns a suspected breach of the provision of Directive 2009/81/EC.



The Commission continued the implementation of the **EU Space Strategy for Security and Defence** (EU SSSD), published on 10 March 2023. The strategy aims at developing a shared understanding of space threats, enhancing the resilience of space systems and services in the EU, ensuring the ability of the EU to respond to space threats, enhancing the use of space for defence (including by developing dual-use space capabilities), and developing partnerships for responsible behaviours in outer space. The strategy put forward several concrete actions, including a **proposal for an EU Space law**, the launch of an **EU Space Information Sharing and Analysis Centre** (EU space ISAC), and a pilot for a potential future **EU Earth Observation governmental service**. The implementation of the EU SSSD is on track, and workshops have been organised with Member States end of 2023 and 2024 to provide an overview of its state of play.

In her State of Union address, President Von der Leyen announced the **EU Space Law** among the Commission priority initiatives for 2024. DG DEFIS started preparatory work with a series of consultations, including a targeted stakeholder consultation and a wider public consultation. The draft law addressing aspects of safety, resilience and sustainability of space activities is expected to be tabled by the Commission in the first half of 2025.

(27) These projects are the result of 10 calls for proposals published over the three-year duration of the PADR. Through a delegation agreement, 15 projects are managed by the European Defence Agency while three projects with a high disruptive potential in the defence context, such as artificial intelligence and quantum technologies, are managed directly by the Commission)

(28) JOIN(2022) 4 final

(29) Case INFR(2023)4017



In the field of international relations, the Foreign Partnership Instrument-funded **‘Global Action on Space’** delivered services to the EU space ecosystem to boost its internationalisation, namely through the organisation of events, conferences and webinars, market reports, business coaching services and study visits upon its closing in June 2024.



Communication In 2024, DG DEFIS ramped up communication on its defence initiatives and activities, as well as on the dual-use aspects of the EU space programme. DG DEFIS participated in major defence events such as Hanover Messe (22-26 April, Hannover), the Black Sea Defence and Aerospace (22-24 May, Bucharest), ILA Berlin (5-9 June, Berlin), Eurosatory (17-21 June, Paris) and Euronaval (4-6 November, Paris). DG DEFIS presented the EDF and EUDIS at numerous local and national events, ensuring high visibility for significant milestones like the Defence Equity Facility signing ceremony, the European Defence Agency event on Military Mobility, and the adoption of EDIS and EDIP by the College, alongside a series of national EDF Info Days 2024.

D. Promoting our European way of life

Specific objective 5.1: Security actors have access to EU autonomous tools, space-enabled services, and technologies, needed to build resilience to security threats, safety hazards and crisis situations.



In an evolving geo-political context marked by instability safety and security, (dual use) space-based services are in high demand. Regarding the **GOVSATCOM component of the EU Space Programme for governmental satellite communications** - the first building block of IRIS² - activities were focused in 2024 on the ground infrastructure (called GOVSATCOM Hub), settled on secure and protected sites. In July 2024, the development of the GOVSATCOM Hub was contracted under indirect management and through an innovation partnership contract from EUSPA to industry. By the end of 2024, and following an open call for expression of interest sent to all Member States, a Commission Implementing Decision was adopted to determine the locations of the GOVSATCOM Hub ⁽³⁰⁾. Simultaneously, downstream research for GOVSATCOM service uptake and upstream technology are being carried out by EUSPA and ESA. GOVSATCOM precursor services can be expected in 2025, once the necessary infrastructure has been deployed and with the connection of existing satellite systems managed by Member States. In the course of the following years, the infrastructure will evolve gradually and arrive to a final operational capability as of 2027.

Activities progressed under the **Space Situational Awareness** ⁽³¹⁾ component, consisting of three subcomponents:

(30) OJ L, 2024/3195, 20.12.2024 https://eur-lex.europa.eu/eli/dec_impl/2024/3195/oj

(31) The SSA component will cover EU SST, Space Weather and Near-Earth Objects, as well as an overall strengthening of security requirements when developing EU space systems)

- On **Space Surveillance and Tracking**, the EU SST Partnership of 15 Member States continued providing SST Collision Avoidance services together with the **EU SST Front Desk** at EUSPA to an increasing number of users worldwide. It also continued providing SST Re-Entry and Fragmentation services to EU users, and advanced on preparations to open SST Re-Entry services also to non-EU users in February 2025. SST activities for the period 2023-2026 are supported by the Commission through a total of six grants (one on operational aspects, five on research and innovation under Horizon Europe). These grants are managed by the EU SST Partnership with the objective of the developing the Union's institutional and commercial SST capacities.



Source: [STM Factsheet \(europa.eu\)](https://stm.europa.eu)

- Preparatory activities towards the provision of an **EU operational Space Weather service** by 2025 were continued. A report was prepared on the user needs, technological readiness and risk assessment of potential Space Weather services, which led to the selection of the space domain space weather service to be procured in 2025.
- A workshop on the on the size determination of potentially hazardous **Near-Earth Objects** was held in 2024, gathering experts from around the world. A catalogue on the physical properties of Near-Earth Objects was procured, to be implemented in 2025.



Galileo introduced an innovative **Emergency Warning Service** relevant for security actors. In 2024, together with Member States' civil protection entities, work focused on the definition and demonstration of this service in various Member States. The **Galileo Search and Rescue service (SAR)** continued the work to develop innovative solutions such as the remote beacon activation and two-way communication functionalities.



The **Copernicus Security Service** supports EU policy by providing information in response to Europe's security challenges. It improves crisis prevention, preparedness, and response in three key areas: maritime surveillance (implemented by EMSA), border surveillance (implemented by Frontex), and support to EU External and Security Action (implemented by the EU SatCen). The **Copernicus Emergency Management Service (CEMS)** supports all actors involved in the management of natural or man-made disasters by providing geospatial information to inform decision making. CEMS constantly monitors Europe to forecast, analyse, and provide information for resilience strategies. In 2024 the rapid mapping and the resilience and recovery mapping service was

activated 98 times. DG DEFIS is working closely with INTPA to expand the international impact and uptake of Copernicus as an European initiative.



Restoring and securing **EU's autonomous access to space** is a priority of the EU space policy. The European Union needs to reinforce and secure its autonomous access to space with competitive, available and sustainable launch solutions. This is critical to ensure the secured deployment of sovereign EU space flagships Galileo, Copernicus and IRIS² and other needs in Europe, and ultimately to ensure the overall competitiveness and resilience of the European space sector. To that purpose, a paradigm shift in the policy of access to space is needed. To this end, the European Commission and ESA launched a joint initiative, called **Flight Ticket Initiative**, to create a pool of launch service providers



ready to offer such services in the period of 2024–2026. A tendering action launched in October 2023 allowed five companies to sign frame contracts in 2024 and make the action fully operational.

In 2024, the European Commission collaborated with ESA to prepare the ESA **“European Launcher Challenge”** initiative, unveiled in Seville in November 2023, aimed at enhancing European space transportation and bolstering the competitiveness of European launch services. Between February and September 2024, a series of **Space Policy Expert Group** (SPEG) workshops were held with Member-State experts and ESA staff to discuss EU access to space, focusing on the aggregation of European institutional launch service demand, launch system innovation, and ground infrastructure.



The EU **Observatory for Critical Technologies (OCT)** continued its operations in 2024. First pilots were conducted and classified reports delivered to Member States.

The reports focus on the application, current and future gaps as well as dependencies and related risks for EU defence, space and related civil value chains for these two types of technologies. At the end of 2024, the reports were discussed with the Member States. OCT ended its pilot-phase and entered into an operational phase of analysing critical dependencies in relevant supply chains for Space and Defence, including road mapping of mitigation measures. Analysis of other relevant critical technology areas will continue in 2025.



DG DEFIS continued coordinating and mainstreaming activities of Commission services to countering **hybrid threats**. Working closely with the EEAS, the eighth progress report on the implementation of the 2016 Joint Framework on countering hybrid threats and the 2018 Joint Communication on increasing resilience and bolstering capabilities to address hybrid threats, was released to the Council of the EU on 10 October 2024 ⁽³²⁾.



Communication DG DEFIS rolled out a strong promotion of services addressing emergency situations, such as the Copernicus EMS activation in partnership with DG ECHO. In April 2024, DG DEFIS hosted the launch event and live demo of the Galileo

(32) SWD(2024) 233

Emergency Warning Satellite Service (EWSS) together with EUSPA and DG ECHO. DEFIS also produced a promotional video for EWSS in 2024.

2. INTERNAL CONTROL AND FINANCIAL MANAGEMENT

Management monitors the functioning of the internal control systems on a continuous basis and carries out an objective assessment of their efficiency and effectiveness. In Annex 7, there is a list and details of the reports that have been considered. The results of the above assessment are explicitly documented and reported to the Director-General.

2.1. Control results

Management uses control results to support its assurance and reach a conclusion about the cost-effectiveness of those controls, meaning whether the right balance between the following elements is achieved:

- **Effectiveness** The level of error found, based on the controls carried out.
- **Efficiency** The average time taken to inform or pay.
- **Economy** The proportionality between the costs of controls and the funds managed.

2.1.1. Overview of the budget and relevant control systems (RCS)

DG DEFIS transactions are carried out under both direct and indirect management modes. The following table and chart give an overview of the main types of expenditure with their respective percentage in the total payments made in 2024. The total amount paid in 2024 amounts to 3 605 702 622 EUR as shown in the table below.

Heading	Management mode	Type of expense	Payments 2024	% on total
Heading 1	Direct management	Grants	17 487 849	0.5%
		Procurement / Experts	207 211 161	5.7%
		Administrative arrangements (JRC)	3 822 000	0.1%
	Indirect management	Budget entrusted to other entities	2 378 695 162	66.0%
Total Heading 1			2 607 216 171	72.3%
Heading 3	Direct management	Grants	513 462	0.0%
		Procurement / Experts	891 450	0.0%
	Indirect management	Budget entrusted to other entities	2 350 000	0.1%
Total Heading 3			3 754 912	0.1%

Heading 5	Direct management	Grants	692 091 696	19.2%
		Procurement / Experts	114 891 803	3.2%
	Indirect management	Budget entrusted to other entities	186 833 805	5.2%
Total Heading 5			993 817 303	27.6%
Heading 6	Indirect management	Budget entrusted to other entities	900 000	0.0%
Total Heading 6			900 000	0.0%
Heading 7	Direct management	Procurement / Experts	14 236	0.0%
Total Heading 7			14 236	0.0%
Total DG DEFIS			3 605 702 622	100.0%
Main Internal Control indicators:				
<i>Direct Management:</i> Time to pay; time to grant; overall cost of control; no OLAF cases; clean opinion on accounts; detected or estimated error rate.				
<i>Indirect Management:</i> CA objectives achieved; time to pay; overall cost of control; no OLAF cases; clean opinion on accounts; detected or estimated error rate.				



The relevant control systems (RCS) used in DG DEFIS focuses on two major areas of expenditure: (1) budget entrusted to other entities through indirect management and (2) grants. The entrusted entities undergo an assessment of their systems, rules and procedures before the signature of a contribution agreement (Art. 157.3 - Financial Regulation). Moreover, the Commission performs ex-ante operational and financial controls on periodic

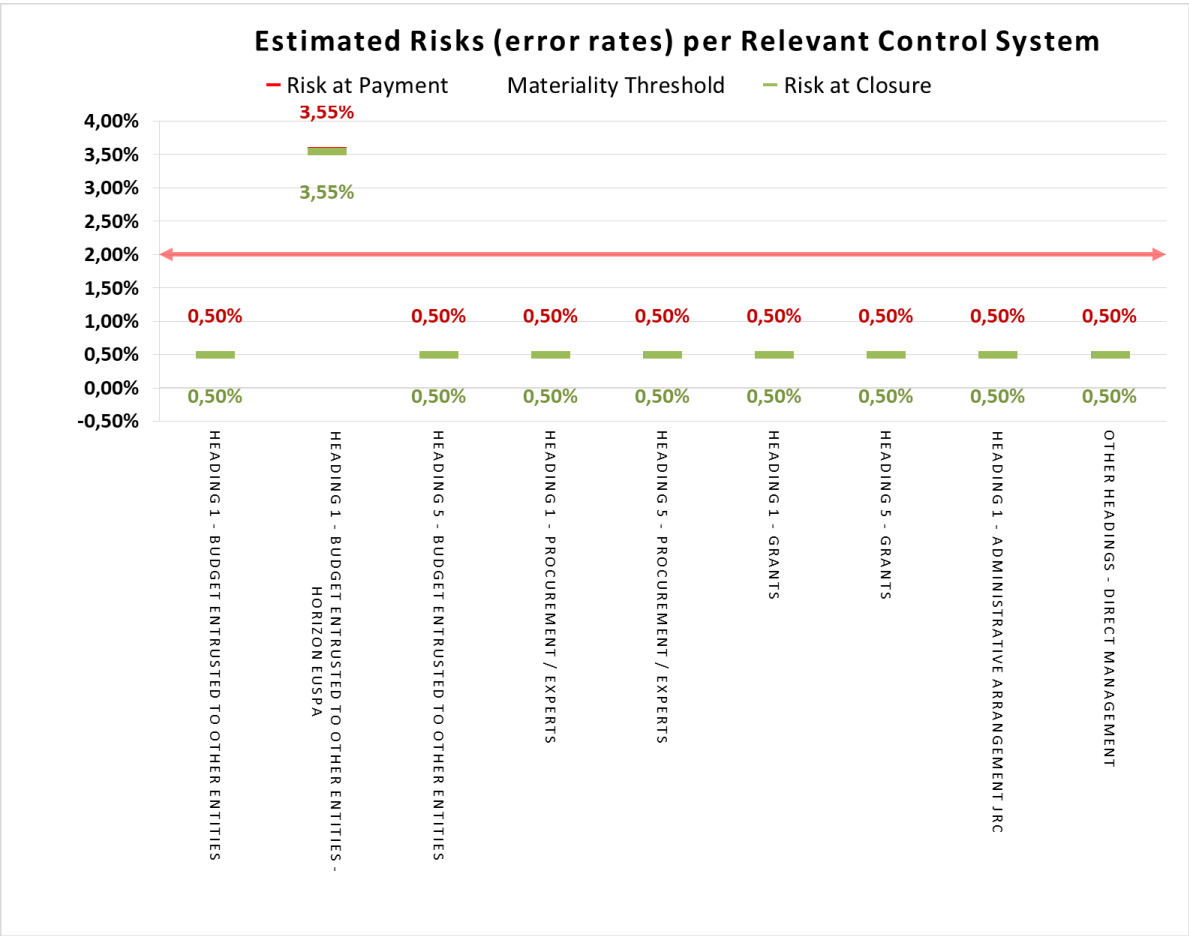
reports and on accounting data and assets. Finally, ex-post audits are regularly performed on the annual costs declared by each entity to support cost recognition ('clearings').

For direct management, the interim and final payments of grants are controlled with ex ante desk checks. An audit plan will be defined for ex-post audits, after reception of the first final payments. More details are provided in Annex 6.

The main space assets are related to the Copernicus satellites, the Galileo satellites and ground segments, and the EGNOS ground segment.

2.1.2. Effectiveness of controls

a) Assessment of control results per RCS for expenditure



For the 2024 reporting year, the operational units did not signal any serious control issues regarding the work implemented by the entrusted entities (71.2 % of the budget). Through the monitoring and supervision work, which included regular contacts and analysis of periodic reports as well as ex-post audits, no legality and regularity risks were identified. For more details on the specific actions carried out see Annex 6 RCS 1 and Annex 13.

All DG DEFIS' programmes are multi-annual and consequently the error rates should be considered within a time perspective. Specifically, the implementation of the audit results

over time will tend to lower the cumulative residual error rate thus increasing its difference with the representative detected error rate.

Valuation and Safeguarding of assets and information

The total asset value on the Balance Sheet at end 2024 is EUR 13.723 billion. The non-current assets amount to EUR 10.210 billion of intangible assets, property plant and equipment and long-term pre-financing (EUR 558 million).

The property, plant and equipment balance (EUR 9.650 billion) is the most material one in DEFIS Balance Sheet. It includes the value of the assets generated by the implementation of the EU space programme (namely: Galileo, EGNOS and Copernicus). By end of 2024, the gross assets values for the different components of this programme are:

- EUR 8.535 billion for Galileo;
- EUR 5.807 billion for Copernicus; and
- EUR 725 million for EGNOS.

The depreciation charge related to these space assets amounted to EUR 826 million for 2024.

Regarding the controls on the non-expenditure items, the controls performed during 2024 on the data provided by ESA and EUSPA for the valuation of the space assets were maintained. Specific workshops on the operational stages of asset development were organised by DG DEFIS to discuss per programme the costs to be capitalised and the stages of operational development as well as the state of play regarding the inspections of these assets. These inspections aim at verifying primarily the precise location and configuration of assets and secondly the adequate safeguarding of assets. Relevant reports did not reveal any issues affecting the adequate safeguarding of assets.

Horizon 2020 Framework Programme

The error rates based on the audit work for Horizon 2020 Framework Programme for Research and Innovation on 31 December 2024 are:

- **Cumulative representative detected error rate** for the Framework Programme: **3.55%** ⁽³³⁾
- **Cumulative residual error rate** for the Framework Programme: **1.79%** (1.99% for DG Research and Innovation ⁽³⁴⁾)

In 2024 the cumulative residual error rate for Horizon 2020 for the grants managed directly by DG Research and Innovation is calculated at 1.99%, which is below the materiality threshold.

(33) Based on the 765 representative results out of the 944 expected in the six Common Representative Samples.

(34) It should be noted that in 2021 most of Horizon 2020 grants managed by DG Research and Innovation were delegated to Executive Agencies. Hence, this figure is based only on the actions that remained with the DG.

The relatively high level of error in Horizon 2020 grants is linked to the applicable funding model, which is based on the reimbursement of eligible actual costs. Most of the errors relate to incorrect claims for personnel costs that are mainly due to beneficiaries' lack of thorough understanding of the inherently complex rules. Newcomers and Small and Medium Enterprises (SMEs) are more prone to errors in comparison to more experienced/large size beneficiaries.

Since R&I Framework Programmes are multi-annual, the error rates, and the residual error rate in particular, should be considered within a time perspective. Specifically, the implementation of the audit results over time will tend to lower the cumulative residual error rate thus increasing its difference with the representative detected error rate.

These error rates are calculated on the basis of the audit results available when drafting the Annual Activity Report. They should be treated with caution as they may change subject to the availability of additional data from audit results. The yearly fluctuation of the detected error rate in H2020 exhibits no identifiable correlation with the maturity of the programme.

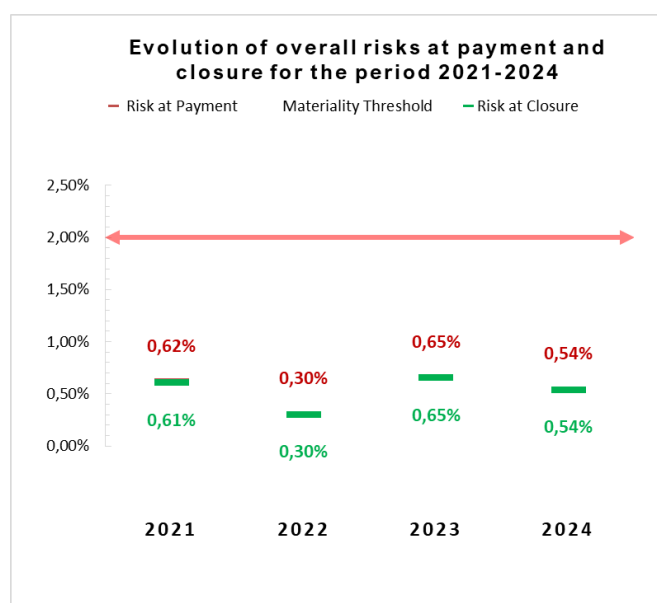
There is evidence that the simplifications introduced under Horizon 2020, along with the ever-increasing experience, help in reducing the number of errors made by the beneficiaries, especially when compared to the Seventh Framework Programme where the error rate was higher and varied from close to 5% to around 5.5% over time. Notwithstanding these efforts, beneficiaries still make errors. Actions carried out to address these weaknesses are reported in Annex 7.

Horizon Europe Framework Programme

2024 was the fourth year of implementation of the Horizon Europe Framework Programme. No representative error rate for Horizon Europe is available in 2024 as the ex-post audit campaign for the Programme was launched in the second half of 2024, once a meaningful number of payments was available for audit. Consequently, without elements allowing an assessment of the level of errors and taking into account the simplifications introduced for Horizon Europe that aim to reduce the error rate, a 2% ⁽³⁵⁾ ⁽³¹⁾ detected and residual error rate will be considered for DG Research and Innovation.

(35) These rates correspond to the objective set for Horizon Europe.

b) Estimation of the overall risk at payment and risk at closure



The estimated overall risk at payment for 2024 expenditure is the AOD's best conservative estimate of the amount of relevant expenditure during the year, not in conformity with the contractual and regulatory provisions applicable at the time the payment was made. This expenditure will subsequently be subject to ex-post controls and a proportion of the underlying errors will be detected and corrected in subsequent years, corresponding to the conservatively estimated future corrections for 2024 expenditure. The difference between those two results is the estimated overall risk at closure ⁽³⁶⁾.

The trend of the indicator in the last four years is stable, without significant changes and always below the materiality threshold of 2%.

For an overview at Commission level, the departments' estimated overall risk at payment, estimated future corrections and risk at closure are consolidated in the Annual Management and Performance Report.

c) Quantitative benefits of controls: Preventive and corrective measures

With its ex-ante and ex-post controls, DG DEFIS has an effective mechanism in place for detecting and correcting errors, reaching in total EUR 7.947 million of corrections for 2024. Ex-ante controls resulted to EUR 7.664 million and ex-post controls resulted to EUR 0.284 million of corrective measures. Please see details in Annex 3 table 8.

This is an increase compared to last year (EUR 5.319 million and EUR 0 respectively), which is mostly explained by an increasing number of desk checks on grants managed in direct management.

(36) This is the AOD's best, conservative estimation of the expenditure authorised during the year that would remain not in conformity of applicable regulatory and contractual provisions by the end of implementation of the programme.

d) Fraud: prevention, detection, and correction

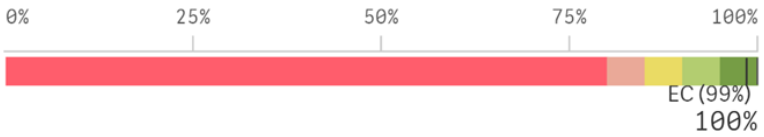
DG DEFIS has developed and implemented systematically all the actions/outputs of its anti-fraud strategy (AFS) since 2020, based on the methodology provided by OLAF. The AFS is updated every three years and was last updated in January 2025 following a fraud risk assessment performed in 2024, as foreseen in our action plan (action 6). Its implementation is being monitored and reported to management annually. Since the newly defined actions will only be approved in the first trimester of 2025, the implementation of most of the actions is in progress; their completion is expected for end of 2025/ first semester 2026.

DG DEFIS is not a lead (or co-lead) service for actions of the Commission Anti-Fraud Strategy Action Plan of July 2023. DG DEFIS did not have any OLAF financial recommendations during the period 2020-2024 related to anti-fraud. Based on the available information, DG DEFIS has reasonable assurance that the anti-fraud measures in place are overall effective.

2.1.3. Efficiency of controls

DG DEFIS manages a large portfolio of heterogeneous activities in the defence industry and space sectors, involving different ways of implementation. Based on an assessment of the most relevant key indicators and control results, DG DEFIS has assessed the efficiency of the control system and reached a positive conclusion.

Timely payments: In 2024, DG DEFIS ensured efficient processing of payments within the legal deadline. The corporate indicator for **timely payments**, reaches 100%. This is achieved through dedicated follow-up tables, which are regularly monitored, for all the incoming invoices and payment requests during the year.

Timely Payments	DEFIS Score	EC Score
 0% 25% 50% 75% 100% EC (99%) 100%	100%	99%

Procurements: The average time to publication in 2024 is 274 days which is due to the high technical nature of the subject of the calls. Consequently, the proposals require a thorough evaluation by various parties.

Grants: In 2024, we signed the grant agreements of the EDF and ASAP calls of 2023, with an average time to grant of 316 days, significantly lower than the year 2023 result (374 days). The reduction is linked to the signature of the ASAP grants, affected by a lower average time to grant compared to EDF grants.

The signature of the EDF grants takes an important amount of time due to the double comitology, the security classification, the high complexity of the programme and the validation/input from Member States during grant agreement preparation.

2.1.4. Economy of controls

The cost of controls at Commission level is assessed by the cost of the different control stages. The assessment for each management mode is obtained from the ratio between these costs and the total amount paid in the year for the related RCS. The cost of control for assets is not reported as they are included in the supervision costs of entrusted entities.

DG results for the reporting year - Direct management		
Common indicators on cost of control	Grants	Procurements
Percentage of overall cost of control of grant / procurement process in comparison to total expenditure executed during the year	1.16%	
	1.34%	0.74%
Overall cost of control (grant/procurement)	€ 9,545,623	€ 2,386,680
Average number of ongoing contracts (grant/procurement) managed per full time equivalent	4.05	9.77
Percentage of costs of control related to the evaluation and selection procedure in comparison to the total value of grants / procurement contracted	0.43%	0.4%
Average value of ongoing grant / procurement agreements managed per full time equivalent	€ 39,495,807	€ 24,184,140
Average project management costs per ongoing grant / procurement agreement	€ 39,940	€ 11,420
Total Costs of ex post audits	€ 0	

DG results for the reporting year - Indirect management											
Common indicators on cost of control	International Organisations and other entrusted entities										
Overall cost of control of supervision process	€ 4,274,465										
Percentage of overall cost of control of supervision process in comparison to the total annual amount delegated excluding any remuneration paid	0.19%										
Remuneration fees paid (to international organisations, agencies, EIF)	€ 312,789,946										
	ESA	Eumetsat	ECMWF	Mercator	EEA	Frontex	EMSA	Satcen	EUSPA	EDA	OCCAR
	€ 215,400,110	€ 10,335,019	€ 3,648,000	€ 4,515,751	€ 1,700,000	€ 300,000	€ 170,000	€ 3,140,147	€ 66,774,156	€ 3,217,707	€ 3,589,056
Percentage of cost of remuneration fees paid to entrusted entities in comparison to the total annual amount delegated excluding any remuneration paid	13.86%										
Percentage of costs of control related to the establishment or prolongation in comparison to the total annual amount delegated	0.01%										
Percentage of costs of control related to the reporting and subsequent monitoring of the execution in comparison to all payments executed	0.158%										
Total cost of ex post audits	€ 229,330										

The overall costs of control for direct management have largely decreased (from 2.38 % to 1.16%) due to the increase of activities related to defence programmes and the secured connectivity concession contract that has been awarded only in 2024.

Details of the estimated cost of controls related to shared/pooled control activities carried out by REA are reported in the annual activity reports of REA.

The control strategy for direct and indirect management is cost-effective overall, as its benefits outweighs the cost of controls considering the major responsibilities of DG DEFIS especially in the space field.

The 'remuneration fees' paid to international organisations increased slightly compared to last year, mainly due to the increased delegated technical tasks for defence and the ramp-up phase of some space entrusted entities.

Annex 7 table Y provides ratios of the payment amounts checked per RCS and per heading.

2.1.5. Conclusion on the cost-effectiveness of controls

Based on the most relevant key indicators and control results, DG DEFIS has assessed the effectiveness, efficiency and economy of its control system and reached a positive conclusion on the cost-effectiveness of the controls for which it is responsible.

DG DEFIS is of the opinion that the current control system, control strategy within a stable control environment is well suited for fulfilling the relevant control objectives efficiently and at a reasonable cost. It represents a good balance between the invested efforts (internal control costs and remuneration fees), the obtained error rates (effectiveness of controls) and delivery of objectives (efficiency). The declaration of assurance (Section 2.5) includes no reservation for the expenditure categories or control systems concerned.

2.2. Audit observations and recommendations

This section sets out briefly the state of play for all audit observations and recommendations reported by auditors related to internal control and financial management – including the limited conclusion of the Internal Auditor on the state of internal control. Further details for IAS and ECA audits can be found in Annex 8. Where an audit has detected weaknesses affecting any internal control principle or the department's assurance, a detailed analysis is provided further below in section 2.3 and 2.4, accordingly.

Internal Audit Service

In its contribution to the 2024 Annual Activity Report process, the Internal Audit Service concluded that the internal control systems in place for the audited processes were effective.

All the very important recommendations received have been successfully implemented, followed-up and closed by the internal auditor.

Reported	Audit Title	Accepted Recommendation	State of play in 2024	Impact on the assurance for 2024
2023	Preparedness of the management and control systems for the 2021-2027 Space Programme implementation	Very important: 1a, 1b	✓	✓

European Court of Auditors

The status of implementation for the ECA audits performed on DG DEFIS, affecting financial management or internal control are summarised below.

Reported	Audit Title	Accepted Recommendation	State of play in 2024	Impact on the assurance for 2024
2023	Statement of Assurance (DAS)	None	✓	✓
2023	The Preparatory action on defence research – Some lessons learned, but value as a testbed for increasing EU defence spending reduced due to time constraints and limited results	5	⌚	⌚

✓ Action plan implemented and closed by IAS or ECA / No impact on the assurance

⌚ Action plan implementation is ongoing or awaiting review from IAS or ECA

📄 Preparation of the action plan

🚩 Impact on the assurance

2.3. Assessment of the effectiveness of internal control systems

The Commission has adopted an Internal Control Framework based on the highest international standards. ⁽³⁷⁾

DG DEFIS uses the organisational structure and the internal control systems suited to achieving its policy and internal control objectives in accordance with the internal control principles and has due regard to the risks associated with the environment in which it operates. To implement the Space Programme, DG DEFIS largely relies on entrusted entities and regulatory agencies and works in close cooperation with various partners and international organisations. In support of the defence industry, the Commission has increased its effort with the adoption of the EDF in 2021, followed by the adoption of the ASAP and EDIRPA regulations in 2023, which are mainly implemented through direct management. Concerning the overall state of the internal control system, DG DEFIS complies with the three assessment criteria for effectiveness, i.e. (a) staff has the required knowledge and skills, (b) systems and procedures are designed and implemented to manage the key risks effectively, and (c) any possible instance of ineffective controls is timely analysed and corrected. Every year, the Acting Director in charge of Risk Management and Internal Control reports on the state of internal control and provides her opinion to the Director-General, considering any possible recommendation received either from IAS or ECA. The very important recommendation received by IAS in 2023, concerning the adoption of security plans in programme management, has been implemented in October 2024 and accepted as closed by the internal auditor. DG DEFIS has assessed its internal control system during the reporting year and has concluded that it is effective, and the components and principles are present and functioning as intended.

(37) The Committee of Sponsoring Organizations of the Treadway Commission Internal Control Integrated Framework, the golden standard for internal control systems.

2.4. Conclusions on the assurance

The above-mentioned approach provides sufficient guarantees as to the completeness and reliability of the information reported and results in a comprehensive coverage of the budget delegated to the Director-General of DG DEFIS.

In conclusion, based on the elements reported above, management has reasonable assurance that, overall, suitable controls are in place and working as intended; risks are being appropriately monitored and mitigated; and necessary improvements and reinforcements are being implemented. The Director-General, in his capacity as Authorising Officer by Delegation has signed the Declaration of Assurance.

2.5. Declaration of Assurance

Declaration of Assurance

I, the undersigned,

Director-General of DG DEFIS

In my capacity as authorising officer by delegation

Declare that the information contained in this report gives a true and fair view ⁽³⁸⁾.

State that I have reasonable assurance that the resources assigned to the activities described in this report have been used for their intended purpose and in accordance with the principles of sound financial management, and that the control procedures put in place give the necessary guarantees concerning the legality and regularity of the underlying transactions.

This reasonable assurance is based on my own judgement and on the information at my disposal, such as the results of the self-assessment, ex-post controls, the work of the Internal Audit Service and the lessons learnt from the reports of the Court of Auditors for years prior to the year of this declaration.

Confirm that I am not aware of anything not reported here which could harm the interests of the institution.

Brussels, 31 March 2025

E-signed

Timo Pesonen

(38) True and fair in this context means a reliable, complete and correct view on the state of affairs in the DG/Executive Agency.

3. MODERNISING THE ADMINISTRATION

Rationalisation of reporting requirements and reduction of related burden

DG DEFIS has conducted a thorough review of its acquis and has compiled the relevant reporting obligations within the scope of the exercise.

DG DEFIS was created at the beginning of the previous Commission's mandate with a well-defined portfolio (defence industry and space). Hence, the extent of this acquis is relatively limited. In legislative terms, DEFIS is responsible for two defence industry-related Directives and five spending programmes (the Space Programme, the European Defence Fund – EDF, the Secure Connectivity Programme – IRIS², the Act in Support to Ammunition Production – ASAP, and the instrument for common defence procurement – EDIRPA). The last three were adopted in 2023. Another proposal, the European Defence Industry Programme, EDIP, was presented by the Commission in March 2024.

The nature of these programmes presents a high level of technical complexity, important time constraints (see for instance ASAP in the context of the war in Ukraine) and sensitivity aspects. Most reporting obligations identified fall under the “authority to authority” type, which may explain why DG DEFIS could not identify relevant input in the Industry Forum contribution or in the outcome of the Call for Evidence.

Against this background, DG DEFIS prepared a plan to simplify and rationalise reporting requirements and reduce related burden on businesses and/or national administrations, without undermining the policy objectives. In implementing EDF, DG DEFIS strives to increase the use of lump-sum for financing the projects, to reduce administrative burden on companies at each reporting period and put focus on performance/results, taking into account that:

- DG DEFIS already uses a large share of lump sums.
- To reduce administrative burden, DG DEFIS applies lump sums for calls with open and disruptive SMEs, which are smaller projects.
- Whilst lump sums have simplification advantages during project implementation, they are also difficult to set-up in particular for large complex projects due to time constraints at grant agreement preparation stage.

For ASAP, the simplification was taken on board from the start of the programme with all projects being financed through lump sums (31 projects). For EDIRPA, the regime is “financing-not-linked to costs” which represents a major simplification for beneficiaries.

3.1. Human resource management

During the past year, DG DEFIS has been pivotal in advancing the European Commission's mission to enhance the EU's defence and space capabilities, focusing on critical initiatives like the European Defence Fund and the EU Space Programme to reinforce the EU's strategic autonomy and technological leadership. The evolving geopolitical situation has necessitated

the introduction of new policies and programmes, resulting in a significantly increased pressure on our staff. Nevertheless, our dedicated team remained steadfast in their commitment to protecting European sovereignty and values, as well as safeguarding citizens. DG DEFIS has persisted in seeking innovative solutions to address the shortage of human resources.

The temporary Task Force “Defence Industrial Reinforcement for EU and Ukraine”, also known as the “ASAP Task Force”, was established in November 2023 to execute the ASAP initiative, addressing the Council's urgent call for ammunition deliveries to Ukraine and helping Member States replenish their stocks. Comprising eleven colleagues from ten different DGs and executive agencies, the Task Force successfully completed its mission in May 2024 by achieving the allocation of €500 million to fund 31 projects through the Act in Support of Ammunition.

In response to the geopolitical context, DG DEFIS established an Innovation Office in Kyiv in September 2024, designed to facilitate collaboration and innovation in defence and space sectors, supporting both EU initiatives and Ukraine's integration. It operates with permanent staff on-site and is backed by support from Brussels, fostering strategic partnerships and technological advancements in the region.

In the space sector, successful collaboration with EUSPA and ESA has led to the ongoing operation of the Galileo and EGNOS Joint Office, including the rotation of the three ESA colleagues assigned to it in 2024. A new agreement between DG DEFIS and ESA has been established to also assign ESA staff to the Commission for the implementation of the IRIS² Secure Connectivity Programme, resulting in the detachment of five ESA staff members in 2024. After the organisational reforms undertaken in 2023 to boost staff performance and effectiveness, DG DEFIS focused on enhancing staff wellbeing and job satisfaction in 2024. Insights from a staff survey led to the development of an action plan focusing on Mobility & Professional Future, Wellbeing & Work-Life Balance, Learning & Development, and Teamwork & Collaboration.

Internal communication efforts persisted in ensuring that staff remained well-informed of the latest developments. This was achieved through various channels, including the weekly internal newsletter 'DEFIS BUZZ,' the organisation of monthly DEFIS Labs and DEFIS HR Labs, and regular staff meetings with the Director-General. Special emphasis was placed on supporting newcomers, with dedicated newcomers' days organised to introduce them to our services and facilitate seamless integration. Additionally, a new DEFIS Buddy Scheme was created and tested to further assist in their onboarding process. Special attention was also devoted to inclusiveness through the organisation of themed breakfast events.

A strong emphasis has been placed on Learning & Development opportunities in 2024, encouraging both staff and management to engage in open communication to identify optimal training options. The DEFIS managers have been invited to take part in initiatives like the 360 multi-source feedback mechanism, the Talent Development Programme, the EU Fellowships Programme, and External Management Development Opportunities for EC Managers. Three out of the four Directorates successfully organised team events, enhancing their cohesion and morale.

With Commissioner Kubilius' appointment on 1 December 2024, there is a strong focus on translating political guidelines into operational actions to bolster DG DEFIS's capacity in implementing key priorities and addressing complex global security challenges.

3.2. Digital transformation and information management

Implementation of the Digital Strategy

Throughout 2024, **the Information Resources Manager (IRM)** team of DG DEFIS was fully operational. By reinforcing the standardisation of IT systems, the team was able to maintain the implementation of **digital strategy principles** ⁽³⁹⁾ while ensuring overall accuracy and consistency. This work strand resulted in better integration and interoperability across different systems and platforms, ultimately enhancing the user experience. To strengthen our **Digital Transformation** effort, the IRM team was expanded to include a dedicated role focusing on the **Digital Workplace**. Acting as a facilitator between DG DEFIS and service providers like DG DIGIT or OIB improved the quality of service provided to the Staff. The incorporation of digital strategy principles into key IT solutions within DG DEFIS, such as DEFEND-S, Copernicus Land Monitoring System-Hot Spot, and Copernicus Emergency Management System-Rapid Mapping has further facilitated in 2024 the substantial advancements toward a user-centric approach. Embracing core principles such as Re-Use, Before Buy, Before Build, DG DEFIS has been able to provide better interoperable and secure IT solutions. Despite DG DEFIS being a small DG with limited IT resources, the dual-pillar approach was prioritised and ensured efficient implementation of IT systems and effectiveness for the numerous platforms managed.

Throughout 2024, DG DEFIS achieved notable advancements in its **Digital Transformation efforts**, particularly by raising awareness regarding the **Digital-ready Policymaking** across the DG and promoting the **Digital Culture** by initiating the M365@DEFIS champion's network. It also promoted the use of innovative technologies such as **Artificial Intelligence** (AI), the adoption of a **cloud-first approach**, and the collaboration with inter-disciplinary teams to simplify the implementation of systems. The successful implementation of the **EUDIS coaching platform** serves as a stellar example of this approach.

DG DEFIS also strengthened its approach for **IT security**, developing an IT Security Plan and consolidating the IT Security Compliance process. This can be seen through the **Risk Maturity Quadrant** (RMQ) where DG DEFIS is labelled as a **"low risk, high maturity" DG**. This progress was achieved through the development and submission of updated IT security plans and compliance status reports for all IT systems owned by the DG, as well as close collaboration with DG DIGIT to leverage corporate solutions and methodologies for IT security reporting. Continuing its efforts from 2022-2023, DG DEFIS has also been diligently applying

(39) For additional guidance on flagship digital transformation initiatives linked to the 5 strategic objectives of the European Commission Digital Strategy, please refer to this Towards a Next Generation Digital Commission

the **"Data governance and data policies at the European Commission"** principles to its key data assets.

Security of information

The latest developments in the international geopolitical environment highlight the paramount importance of information security in the critical fields of defence and space industry. The newly established Security of Information sector, building on the foundations of its precursor Task Force, launched a number of initiatives aiming at further **enhancing the protection of sensitive and classified information**. In this context, DG DEFIS has established:

- internal procedures tailored to the specificities within its field of competence, while closely monitoring the correct implementation of security rules and policies;
- the security management plan for the space programme, in coordination with HR.DS;
- a Memorandum of Understanding with HR.DS;
- recommendations on implementation of the industrial security rules in DEFIS contracts and grants to be implemented internally.

In addition to implementing **strict access control policy** and ensuring the physical security of its facilities, DG DEFIS successfully incorporated newly deployed, **highly secure IT systems** into its operations. These systems facilitate secure distribution channels, minimise the risk of unauthorised information disclosure, and ensure the accountability and traceability of classified information. Moreover, the requirement for all DG DEFIS personnel to maintain a valid security clearance further strengthens protection against internal threats.

Acknowledging the importance of individual responsibility on the security of information, DG DEFIS encourages staff to participate in **security trainings** and other awareness-raising activities organised by DG HR. These practices ensure that its staff remains vigilant and on a par with the rapidly evolving threat landscape. Internal circulation of security reports also raises awareness among DG DEFIS management on security topics and emerging threat actors.

Data Protection

In 2024, the **Data Protection** Coordinator (DPC) for DEFIS contributed to the implementation of the Commission's Data Protection Action Plan through the following actions:

- awareness raising by creating a SharePoint site, which contains relevant information on data protection. The main topics covered are: the basics, main obligations for data controllers, privacy statements, records, data protection when drafting legal acts, personal data breach.
- ongoing promotion of Data Protection courses on EULearn by mailing to all DEFIS staff.
- advisory support for units to improve overall compliance to the data protection rules and obligations, i.e. for the creation or update of records and privacy statements, as well as advice on the conformity of IT systems, IT projects and websites with data protection

rules and in particular when transferring personal data to third countries or using international cloud services.

3.3. Sound environmental management

During the reporting year, DG DEFIS continue to work on the roadmap for implementing a sector-specific category rules (e.g. PEFCR) for the EU space sector activities and preparing the contractual procedure to be launched in 2024. This would allow further developments of life cycle environmental footprint of European space activities and sector-specific environmental footprint methodology.